JACKSON, ETTI & EDU

Bridging the ESG Finance Gap

DEMAND AND SUPPLY-SIDE CONSTRAINTS FACING NIGERIAN SMALL AND MEDIUM-SIZED ENTERPRISES (SMES)

PREPARED FOR:

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INTRODUCTION

Executive Summary

The Environmental, Social, and Governance (ESG) framework has evolved into a crucial method for assessing long-term value creation that extends beyond conventional financial metrics. This paper—the first in a three-part series—provides a comprehensive analysis of both supply-side and demand-side opportunities and challenges facing Nigerian SMEs in their pursuit of sustainability-linked capital.

> **STRATEGIC DISCONNECT**
>
> *"Nigerian SMEs collectively wield significant influence over ESG outcomes through their cumulative operations, yet they remain largely excluded from the expanding pool of sustainability-linked capital."*

As SMEs account for the majority of employment in Nigeria, their failure to participate in the evolving green economy contributes significantly to economic instability. This report seeks to highlight the disconnect between financier expectations and SME realities, proposing actionable recommendations to strengthen SME access to sustainable finance.

MARKET BARRIERS

Demand-Side Constraints

INTERNAL BARRIERS

01 **LIMITED AWARENESS**

Knowledge gap regarding ESG metrics, climate risk disclosures, and performance covenants.

02 **POOR REPORTING CAPACITY**

Only 9% of SMEs operate formal sustainability reporting programs due to constraints of time and budget.

03 **SURVIVAL FOCUS**

Short-term cash flow needs often supersede strategic green planning.

EXTERNAL BARRIERS

04 **WEAK ESG ECOSYSTEM**

Lack of SME-focused ESG scores, certifications, or verifiers tailored for small companies.

05 **SPARSE INCENTIVES**

Absence of tax breaks, grants, or emission-reduction subsidies effectively reaching the SME segment.

06 **FRAGMENTED INFO**

Scattered guidance leaving SMEs to navigate a confusing patchwork of disclosure requirements.

KEY INSIGHT

"The informal nature of many Nigerian SMEs further exacerbates the credibility gap, creating a vicious cycle: data gaps hinder reporting, which in turn limits access to sustainable finance."

FINANCIER EXPECTATIONS

Supply-Side Analysis

Accessing sustainable finance ultimately depends on the products, risk appetites, and compliance obligations of Financial Market Participants (FMPs). In the context of Nigeria, the supply-side expectations and associated challenges categorized into four key areas:

Securing End-Investors

Difficulty attracting ESG investors whose objectives are flexible enough for SMEs with little to no ESG metrics.

The Information Gap

Traditional credit metrics are insufficient. Absence of verifiable ESG data complicates due diligence and heightens perceived risk.

Product Specification

Design challenges for appropriate financing deals (debt vs equity) due to the lack of forward-looking ESG metrics.

Applicable Laws

Fragmented regulatory environment. Global financiers often operate under far stricter disclosure regimes than their local counterparts.

> **Fear of greenwashing further discourages financiers from designing innovative, context-appropriate ESG products for the Nigerian SME category.**

POLICY & STRATEGY

The Way Forward

Nigerian SMEs risk being left behind in the evolving green economy unless practical and scalable pathways to align with ESG objectives are established. The Financial Reporting Council of Nigeria (FRC) issued the SME Corporate Governance Guideline (SME CCG) in May 2024 as a first step.

LEGISLATIVE ACTION

Mandatory disclosure regimes to create a stable and predictable environment.

DIGITAL TRANSFORMATION

Promoting affordable, automated tools for ESG data collection and verification.

INCENTIVE ALIGNMENT

Targeted tax reliefs and concessional financing to make "greening" a business advantage.

Addressing the challenges identified requires coordinated efforts to improve SME ESG reporting and establish enforceable disclosure standards aligned with international best practices. Only then can sustainable finance effectively scale in Nigeria and mobilise private capital toward genuinely impactful investments.

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